



Wadhvani Ignite

CONCEPT BOOKLET

Module 9

Lesson 3: Understand Bootstrapping and Funding Options

Context:

If you remember the pre-venture stages a start-up's journey from the program so far, you would remember that you would start to need funding to advance into more serious MVP development and testing. And then significant funding to determine Product-Market fit and launch the start-up.

A fundamental principle of fund-raising is that you start to prepare for raising funds, much before you actually need funds.

In a start-up another reason to consider the funding required, different types of funding and how to raise funding is to develop an investor's perspective of your own venture early on. This allows you to future ready your venture as a potential 'venture-backed-startup' with high levels of scalability and profitability.

Program overview, and your **Venture Journey** over 14 weeks

1. Problem Identification	2. Customer Identification & Needs Validation	3. Solution Idea Generation
Week 1-2	Weeks 2-4	Week 4
■ Orientation ■ Develop Macro Industry-Problem view ■ Assemble “Real-World” Problems ■ Examine Chosen Problems ■ Analyze Problems	■ Identify customer segments ■ Assess ‘jobs-to-be-done’ ■ Develop Customer Personas ■ Understand Customer Validation ■ Validate Customer-Problem fit ■ Pivot/Refine Customer-Problem Fit for Feasibility	■ Understand Ideation techniques ■ Generate Solution Idea
4. Opportunity & Competition Mapping	5. Prototype Development & MVP	6. Opportunity Feasibility Assessment & Sizing
Week 5	Week 6	Week 7-8
■ Identify Global competitors ■ Review Industry Trends and Estimate Market Size (TAM) ■ Introduction to Financial Planning	■ Overview of Prototypes & MVP ■ Build an Initial Prototype ■ Prototype for Early Validation	■ Map your Relative Position in the Market ■ Estimate Opportunity Size
7. Business Modelling	8. Marketing & Sales Strategy	9. Financial Management for Profitability
Week 8-9	Week 9-10	Week 11-12
■ Examine Revenue Model ■ Revenue Models continued ■ Review and Organize the Lean Canvas ■ Build the LC for your Startup	■ Understand Marketing & Sales ■ Recommend a Go-To-Market (GTM) Approach ■ Map a Sales Process	■ Deep Dive into Financial Planning ■ Analyze the Path to Profitability ■ Understand Bootstrapping and Funding Options
10. Team & Talent Requirement	11. Orientation for Scale	12. Venture Idea Feasibility Presentation
Week 12	Week 13	Week 14
■ Finding Co-founders and Mentors ■ Building an Initial Team	■ Thinking Beyond the Prototype - Scale Opportunity & Orientation ■ Persuasive Story-Telling for a Viable Venture Idea ■ Pitch preparation	■ Practice Pitch ■ Final Pitches

Concepts Covered in this Lesson

Why do you need external funding? • Do you always need to have investors? • Bootstrapping	Understand the Investor Perspective • What are investors evaluating? • Are there any deal clinchers for investors? • Key financial metrics
Understand Funding Options • What are the funding option you can consider? • Relationship between funding options and start-up stage	Estimating Funding requirements • Evaluate your next milestone and estimate fund requirements. • Outline usage of the funds • Prepare for Investor Questions

After completing this lesson, you will be able to:

- Understand how investors evaluate the financial health of startups.
- Understand various funding options and schemes
- Prepare your fundraising strategy

Steps for you to take:

- Review your financial projection (revenue and costs)
- Based on your projections and your start-up journey stage, estimate what kind of funding you will need, for what and what would be the right types of funding sources for that.
- Prepare to answer investor questions on why you would qualify for that funding

Why do you need External Funding?

Startups often need external funding to cover the significant expenses involved in launching and growing their business. These expenses include product development, marketing, hiring, and operational costs.

If the founders do not come from families that can afford to fund these, or even if they do, in order to manage their family's risks, startups raise external funding.

External funding provides the necessary capital to scale operations, enter new markets, and innovate without the immediate pressure of generating profits.

Key Reasons for Needing External Funding:

1. **Product Development:** Creating a product or service often requires substantial upfront investment in research, development, and testing.
2. **Marketing and Sales:** Effective marketing and sales strategies require significant funding to build brand awareness and acquire customers.
3. **Operational Costs:** Covering daily operational expenses such as salaries, rent, and utilities until the business starts generating sufficient revenue.
4. **Scaling Up:** Expanding production capacity, entering new markets, and scaling operations require substantial capital.
5. **Buffer for Uncertainties:** External funding provides a financial cushion to navigate uncertainties and market fluctuations.

Bootstrapping: Startups Growing Without External Funding

Bootstrapping is the process of starting and growing a business using personal finances or the revenue generated from the business itself, rather than relying on external funding sources like investors or loans.

This approach emphasizes self-sufficiency, cost management, and reinvestment of profits to achieve sustainable growth.

Some startups manage to grow into giants successfully without external funding, **relying on bootstrapping**, where they use their own resources or revenue generated from the business to fund growth.

Case stories of companies that did well WITHOUT external funding:

1. Zerodha

Overview: Zerodha, founded in 2010 by Nithin Kamath, is India's largest retail stockbroker by the number of clients.

Growth Strategies:

- **Low-Cost Model:** Zerodha introduced a flat fee per trade model, making trading affordable and attractive to retail investors.
- **Technology Focus:** Investing in a robust technology platform to provide a seamless and user-friendly trading experience.
- **Word-of-Mouth Marketing:** Relied heavily on customer satisfaction and word-of-mouth to grow its user base without significant marketing expenses.
- **Reinvestment of Profits:** Profits were reinvested into the business to develop new products and enhance existing services, maintaining a lean operational structure.

Bootstrapping Strategies:

- **Self-Funded:** Kamath used personal savings and initial earnings from the business to fund operations and growth.
- **Lean Operations:** Focused on maintaining low operational costs to ensure profitability and sustainability.
- **Customer-Centric Approach:** Developed features and services based on direct feedback from users, ensuring high customer retention and organic growth.

Source of information:

Livemint - Zerodha's Growth Story

2. Mailchimp

Overview: Mailchimp, an email marketing service, was founded by Ben Chestnut and Dan Kurzius in 2001.

Growth Strategies:

- **Freemium Model:** Introduced a freemium model that allowed small businesses to use Mailchimp's services for free, attracting a large user base.
- **Customer Feedback:** Regularly collected and implemented feedback from users to improve and expand their service offerings.
- **Content Marketing:** Leveraged content marketing and educational resources to help users succeed, fostering loyalty and brand advocacy.

Bootstrapping Strategies:

- **Self-Funded:** Started with the founders' own savings, avoiding the need for external funding.
- **Reinvestment of Profits:** Reinvested profits back into the company to fund growth and development initiatives.
- **Focus on Sustainability:** Prioritized profitability from the outset, ensuring that the business could sustain itself without external capital.

Source of information:

Forbes - Mailchimp's Success Story

3. Spanx

Overview: Spanx, a brand of body-shaping undergarments, was founded by Sara Blakely in 2000.

Growth Strategies:

- **Innovative Product:** Created a unique product that addressed a clear market need, differentiating Spanx from other products in the market.
- **Grassroots Marketing:** Personally pitched her products to department stores and used creative marketing strategies to generate buzz.
- **High-Profile Endorsements:** Leveraged endorsements from celebrities and influential figures to build brand awareness and credibility.

Bootstrapping Strategies:

- **Self-Funded:** Blakely used her own savings of \$5,000 to start the business, avoiding the need for external investors.
- **Cost Management:** Kept costs low by handling many aspects of the business herself, including product design and marketing.
- **Reinvestment:** Reinvested earnings into the business to fuel growth and expand the product line.

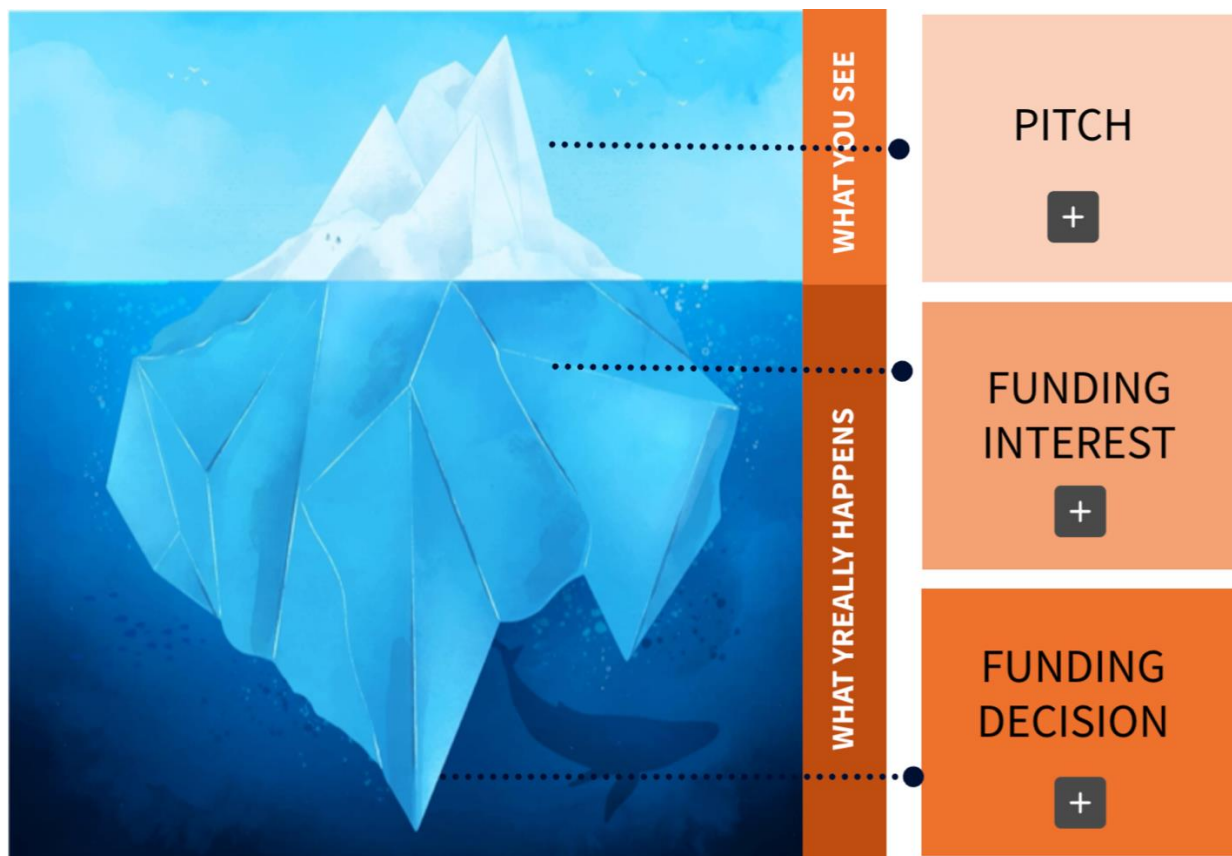
Source of information:

Forbes - Spanx and Sara Blakely

These companies successfully grew without external funding by focusing on innovative products, efficient cost management, reinvestment of profits, and leveraging organic marketing strategies. Their founders' commitment to bootstrapping ensured that they maintained control over their businesses and fostered sustainable growth.

Understanding the Investor's Perspective: Navigating the Iceberg

As you prepare to present your startup to potential investors, it's essential to recognize that what you see—your pitch—is just the tip of the iceberg. While you focus on showcasing your team, addressing a significant problem, and presenting a unique solution, investors delve deeper into evaluating whether your venture is a profitable and scalable business.



Let's explore this process using the iceberg analogy:

1. Profitable/Scalable Business Evaluation:

Investors first assess whether your startup has the potential to become a profitable and scalable business. This initial evaluation involves scrutinizing several key factors that lie beneath the surface:

- **Opportunity Size:** Investors analyze the market opportunity to determine if it's substantial and growing, ensuring there is enough room for your startup to thrive.
- **Unit Economics:** They examine the unit economics of your business model, assessing factors such as customer acquisition costs, lifetime value, and margins to ensure sustainability and profitability.
- **Team Profile:** Your team's expertise, experience, cohesion are carefully evaluated to assess their ability to execute the business plan effectively.
- **Go-to-Market Strategy:** Investors review your go-to-market strategy to understand how you plan to acquire customers and gain market traction efficiently.
- **Competition:** The competitive landscape is analyzed to determine how your startup differentiates itself and captures market share effectively.
- **Funding Ask:** Your funding requirements are considered in relation to the milestones you aim to achieve, ensuring alignment with investor expectations and objectives.

2. Return on Investment (ROI) Analysis:

Once investors ascertain the viability of your business, they dive even deeper to assess the potential return on investment (ROI). This stage involves a more thorough evaluation of several critical elements:

- **Business Roadmap:** They review your business roadmap to understand how you plan to achieve growth milestones and create value over time.

- **Financial Plans:** Detailed financial projections are scrutinized to assess the startup's revenue forecasts, profit margins, and cash flow management.
- **Term Sheet:** Negotiations around the terms of the investment, including valuation, equity ownership, and investor rights, are conducted to establish a mutually beneficial agreement.
- **Due Diligence:** Investors conduct comprehensive due diligence to validate the startup's market opportunity, technology, intellectual property, team, and potential risks.
- **Funds-in-the-Bank:** Finally, investors consider the startup's financial position, including existing funding and runway, to ensure sufficient capital to execute the business plan effectively.

By understanding the layers beneath the surface—the investor's perspective—you can tailor your pitch and presentation to address their key considerations effectively.

Remember, while your pitch may capture attention, it's the thorough evaluation of these underlying factors that ultimately determine investor interest and support for your startup.

Investors are primarily driven by the objective of maximizing returns on their investments. They seek opportunities that offer the potential for significant profitability while carefully managing associated risks.

Beyond financial gains, investors also consider factors such as portfolio diversification, risk mitigation, and alignment with their investment thesis. Understanding the investor's perspective is essential for startup founders when pitching for funding, as it allows them to tailor their approach and present their venture in a compelling manner that resonates with investor objectives.

Are there any deal-clinchers for an Investor?

When it comes to securing investment for your startup, there are key factors—deal clinchers—that can significantly influence an investor's decision. These include:

Team - Balanced and Capable:

Investors look for a well-rounded team with the skills and experience necessary to launch and scale the business. A strong team demonstrates the ability to execute the business plan, adapt to challenges, and drive the startup towards its goals.

Customers' Problems / Needs:

- **Strong Demand:** Investors need to see that there is a compelling demand for your solution. They evaluate whether your startup addresses a significant problem or need in the market, ensuring that there is a sizable and eager customer base ready to adopt your product or service.
- **Economic Sustainability:** Growing Sales, Revenues, and Profits: Investors assess your startup's potential for economic sustainability. This involves analyzing whether you can generate consistent and growing sales, maintain healthy profit margins, and achieve long-term financial viability.
- **Product/Service Technology:** Scalable Innovation: Investors are interested in the technological foundation of your product or service. They look for innovative solutions that not only solve customer problems effectively but also have the potential to scale. Demonstrating a robust, scalable technology can be a critical factor in securing investment.

By focusing on these deal clinchers, you can better align your pitch with what investors are looking for and increase your chances of securing the necessary funding for your startup.

Key Financial Metrics Investors Look At

While your pitch focuses on the broader vision and strategic elements of your startup, you must have a deep understanding of certain financial metrics. These metrics, though not always highlighted in your initial pitch, are essential for answering investor questions and demonstrating financial acumen.

Here are the key metrics you should be familiar with and know to be important for any venture:

1. Cash Burn Rate:

This metric indicates how quickly a startup is using up its cash reserves without generating positive cash flow. It's crucial for assessing your financial runway and determining how long you can operate before needing additional funding.

2. Revenue Growth Rate:

Demonstrating the startup's growth in revenue over time, this metric indicates market demand and the effectiveness of your business model, showing potential for scalability and profitability.

3. Gross Margin:

The difference between revenue and the cost of goods sold (COGS), expressed as a percentage of revenue, reflects the financial health of your core business activities and efficiency in production and pricing.

4. Customer Acquisition Cost (CAC):

This is the average cost involved in acquiring a new customer. It helps assess the efficiency of your marketing and sales efforts and impacts overall profitability.

5. Customer Lifetime Value (LTV):

This metric projects the total revenue a company expects from a single customer account over its lifetime, providing insight into

long-term profitability and helping determine how much you can spend on customer acquisition.

6. Customer Churn Rate:

The percentage of customers that stop using your product or service over a certain period indicates customer satisfaction and retention, affecting long-term growth and sustainability.

7. Net Promoter Score (NPS):

A measure of customer satisfaction and loyalty, this metric asks customers how likely they are to recommend your product or service. A high NPS indicates strong customer approval and potential for organic growth through word-of-mouth.

8. Unit Economics:

Refers to the direct revenues and costs associated with a particular business model, expressed on a per-unit basis. This metric helps understand the profitability and scalability of your business on a micro level, crucial for making informed business decisions.

Understanding these key financial metrics is essential for engaging effectively with potential investors. With a solid grasp of your startup's financial health and growth potential, you can now explore the various funding options available to secure the capital needed for your venture's success.

Funding Options for 'Venture Backed' Startups

A **'Venture backed' startup** is one that receives venture capital funding including early staged seed funding and or growth stage funding.

Venture backed startups are expected to show

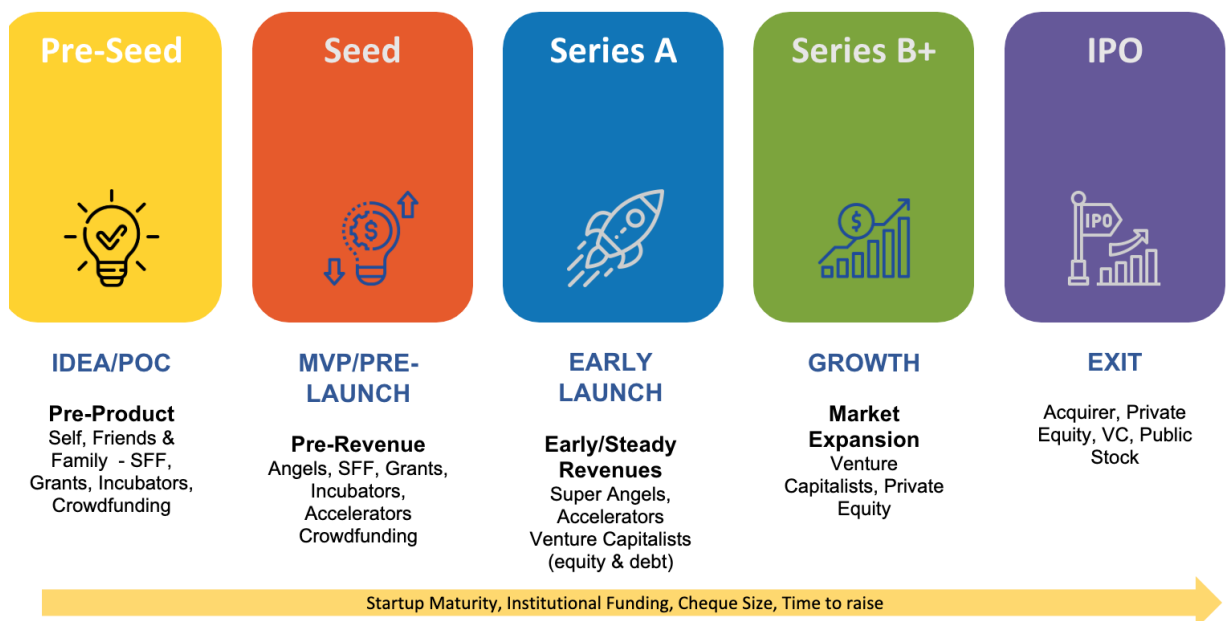
- very high growth potential in the venture idea and
- very high execution capabilities in the venture team

Here are several funding options available to startups, each with its unique advantages and considerations:

Funding Option	Description
Bootstrapping	Using personal savings or revenue generated by the business to fund operations. It allows full control but can limit growth due to limited resources.
Friends and Family	Raising funds from personal networks. This can be easier to secure but may strain personal relationships and usually involves smaller amounts.
Grants and Competitions	Non-dilutive funding from government programs, foundations, competitions or even incubators and accelerators. These funds don't require repayment or equity but can be highly competitive.
Crowdfunding	Raising small amounts of money from a large number of people, typically via online platforms. It can also serve as a marketing tool but requires substantial effort to run a successful campaign.
Angel Investors	High-net-worth individuals who provide capital for startups in exchange for equity or convertible debt. They often bring valuable expertise and networks.

Venture Debt	A type of loan specifically designed for early-stage, high-growth companies. It provides debt capital that must be repaid over time, allowing founders to avoid diluting their ownership stakes.
Venture Capital	Equity-based financing for startups with high growth potential. Venture capitalists provide significant capital in exchange for equity shares, giving them a stake in the company, along with strategic guidance and resources.
Convertibles for Startups	Often issued as SAFE (Simple Agreement for Future Equity) instruments, these are flexible funding options that enable startups to raise capital without immediately setting a company valuation.
Bank Loans	Traditional loans from banks or financial institutions. These require repayment with interest and may require collateral, but they do not dilute equity.

Each of these funding options has its own set of benefits and trade-offs. With an understanding of the various funding options available, it's essential to consider how to choose the right option and timing based on the stage of your startup.



This table outlines the funding sources typically associated with each stage of a 'Venture Backed' startup's development, providing a roadmap for entrepreneurs seeking capital at various points in their journey:

Stage of Startup	Description	Funding Sources
Pre-Seed	IDEA or POC stage	Self, Friends & Family (SFF), Grants, Incubators, Crowdfunding
Seed	MVP or Prelaunch (Pre-revenue)	Angels, SFF, Grants, Incubators, Accelerators, Crowdfunding
Series A	Early Launch (Early/steady revenue)	Super Angels, Accelerators, Venture Capitalists (equity & debt)
Series B+	Growth Stage (Market expansion)	Venture Capitalists, Private Equity
IPO (Exit)	Exit Strategy	Acquirer, Private Equity, Venture Capitalists, Public Stock

When preparing to raise funds, clarity is key – what do you really need funds for (your plan), how much and when?

Define the amount of capital needed, the valuation, and how the funds will be utilized. Know that taking equity (first time or repeat) always means dilution of your share (equity) in the business.

Additionally, articulate your business model, unique value proposition, market size and share, competitive landscape, and customer acquisition strategies. This comprehensive approach not only demonstrates preparedness but also enhances the attractiveness of your startup to potential investors.

Call-To-Action

Outline what your funding needs are and for what.

Prepare your answers to these investor questions:

- What are your expected revenues in Year 1? Year 2?
- What are your current sources of funding?
- What are your burn rate and runway?
- When do you anticipate becoming profitable?
- How much capital are you raising, and why that specific amount?
- What milestones do you plan to achieve with this round of funding?
- What is your preferred mode (debt, equity)? Why?